

Chapter 2

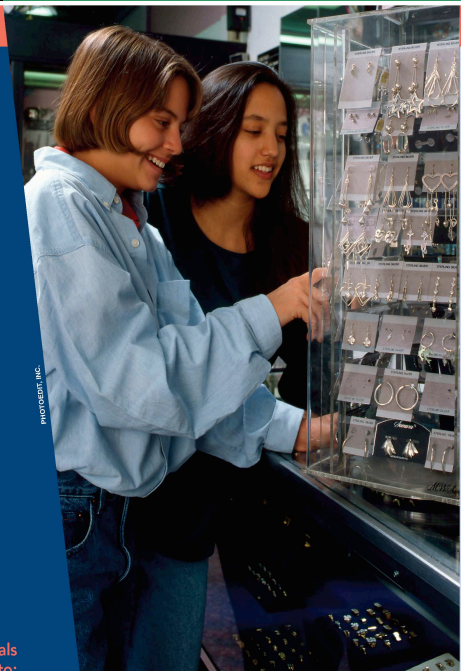
Business Ethics and Social Responsibility



INTRODUCTION
TO BUSINESS 4e

JEFF MADURA

Learning Objectives



Customers – Social Responsibility

Customers

Employees

Stockholders

Creditors

Environment

Communities



Production

Sales

A vertical strip of five medication warning labels. Each label has a different background color and icon. The labels are: 1. Red background with a drowsy face icon, text: "MAY CAUSE DROWSINESS. ALCOHOL MAY INTENSIFY THIS EFFECT. USE CARE WHEN OPERATING A CAR OR DANGEROUS MACHINERY." 2. Yellow background with a glass and flame icon, text: "DO NOT DRINK ALCOHOLIC BEVERAGES WHEN TAKING THIS MEDICATION." 3. Grey background with a glass of water icon, text: "MEDICATION SHOULD BE TAKEN WITH PLENTY OF WATER." 4. Yellow background with a breastfeeding woman icon, text: "WARNING: DO NOT USE WHILE YOU ARE BREASTFEEDING. CONSULT YOUR DOCTOR OR YOUR PHARMACIST." 5. Red background with a doctor icon, text: "OBTAIN MEDICAL ADVICE BEFORE TAKING NONPRESCRIPTION DRUGS. SOME MAY AFFECT THE ACTION OF THIS MEDICATION." The labels are stacked vertically, and the text "PHOTOEDIT, INC." is visible on the left side of the strip.

MAY CAUSE DROWSINESS.
ALCOHOL MAY INTENSIFY THIS EFFECT. USE CARE WHEN
OPERATING A CAR OR DANGEROUS MACHINERY.

©1995 ASC



DO NOT DRINK
ALCOHOLIC BEVERAGES
WHEN TAKING THIS MEDICATION.

©1995 ASC



MEDICATION SHOULD BE
TAKEN WITH PLENTY OF
WATER

©1995 ASC



**WARNING: DO NOT USE WHILE
YOU ARE BREASTFEEDING.**
CONSULT YOUR DOCTOR OR YOUR PHARMACIST.

©1995 ARCH



OBTAIN MEDICAL ADVICE
BEFORE TAKING NONPRESCRIPTION DRUGS. SOME
MAY AFFECT THE ACTION OF THIS MEDICATION.

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Business Ethics and Social Responsibility

Customers – Social Responsibility

Customers

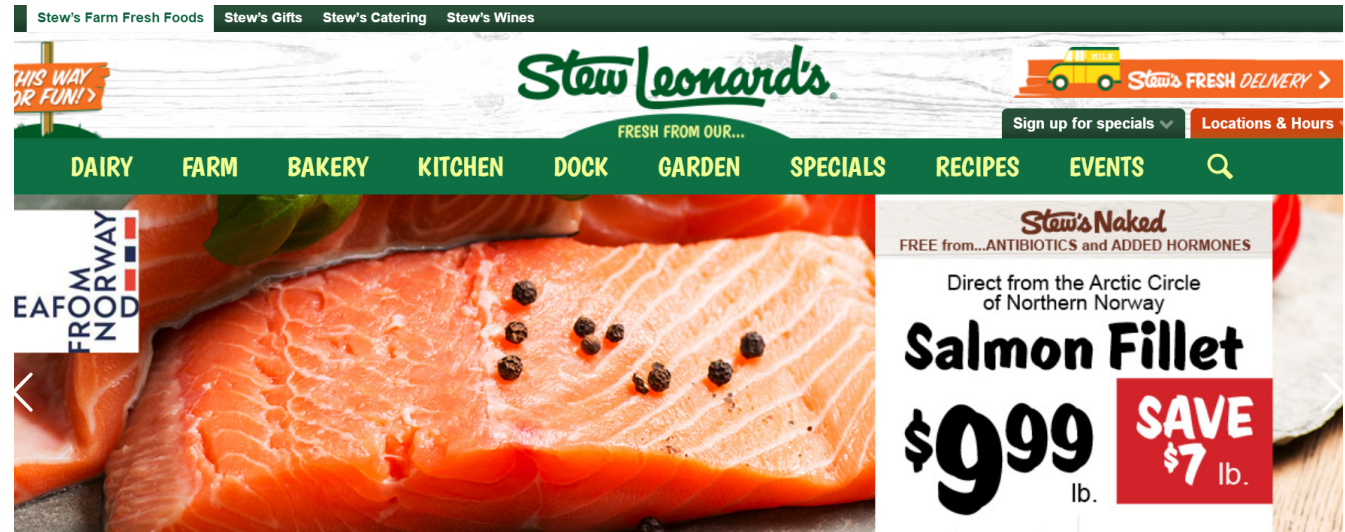
Employees

Stockholders

Creditors

Environment

Communities



Rule1: the customer is always right.

**Rule2:if the customer is ever wrong,
reread rule1!**



Ensuring Responsibility

Customers

Employees

Stockholders

Creditors

Environment

Communities

1 - Code of Responsibilities

2 - Monitor Complaints

3 - Customer Feedback



Ensuring Responsibility

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Why is the customer “king” instead of “God”?

What is important when dealing with
customer complaints?

Role of Consumerism

The collective demand of consumers that
businesses satisfy their needs
is an example of how consumerism
ensures responsibility toward customers.



Consumerism

Customers

Employees

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Consumerism is a social and economic phenomenon where the acquisition of goods and services in ever-increasing amounts is seen as desirable and essential for **personal happiness, social status, and identity**. It thrives on social valuations, fashion, images, and the constant comparison with others.

Rather than cultivating genuine happiness, consumerism often fosters a state of **perpetual dissatisfaction** and **fear**—fear of not fitting in or not possessing the "right" things to signify one's place in society.



Role of Consumerism

Customers

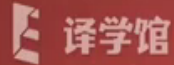
Employees

Stockholders

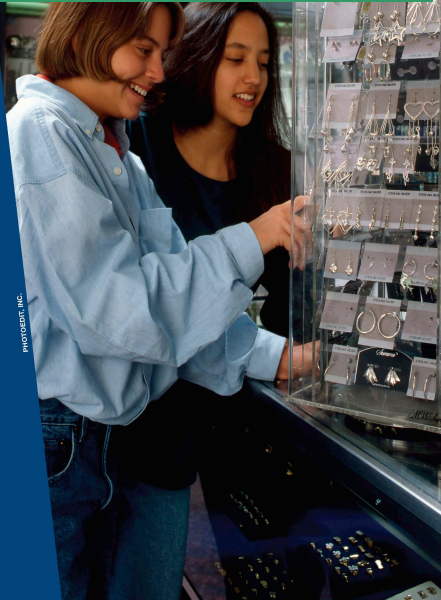
Creditors

Environment

Communities



HISTORY



Consumerism

Customers

Employees

Stockholders

Creditors

Environment

Communities

- **Identity vs. Materialism:** How does consumerism influence an individual's sense of self-identity, and can true happiness be achieved through material possession alone?
- **Perpetual Dissatisfaction:** Consumerism cultivates fear and is defined by perpetual dissatisfaction. Do you agree with this statement? Provide examples from modern society to support your view.



Consumerism

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Employees

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Communities

- **Cultural Adaptation:** Analyze the transformation of China's "Singles' Day" into a global shopping festival. How does this example illustrate the power of businesses in shaping cultural habits and consumer behavior?
- **Ethical Responsibility:** If consumerism drives perpetual dissatisfaction, what ethical responsibilities do businesses have in their marketing strategies? Should companies promote contentment instead of constant consumption?
- **Global Impact:** How has the spread of western consumer habits influenced local cultures in developing countries? Is this globalization of consumerism beneficial or detrimental to societal well-being?



Government Regulations

Customers

Employees

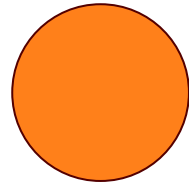
Stockholders

Creditors

Environment

Communities

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Responsibility to Employees

Safety

Workplace

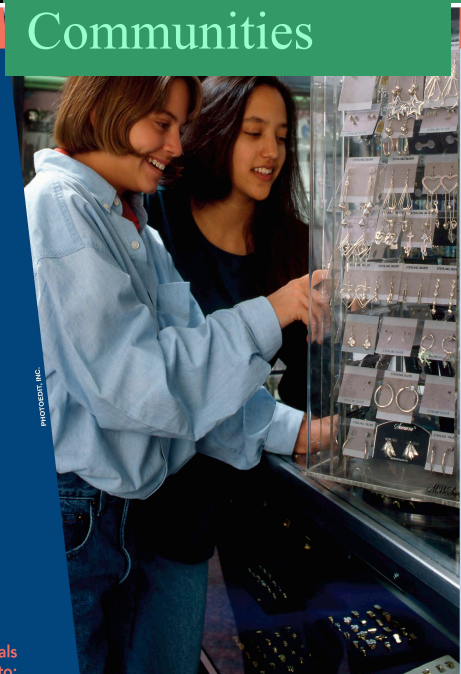
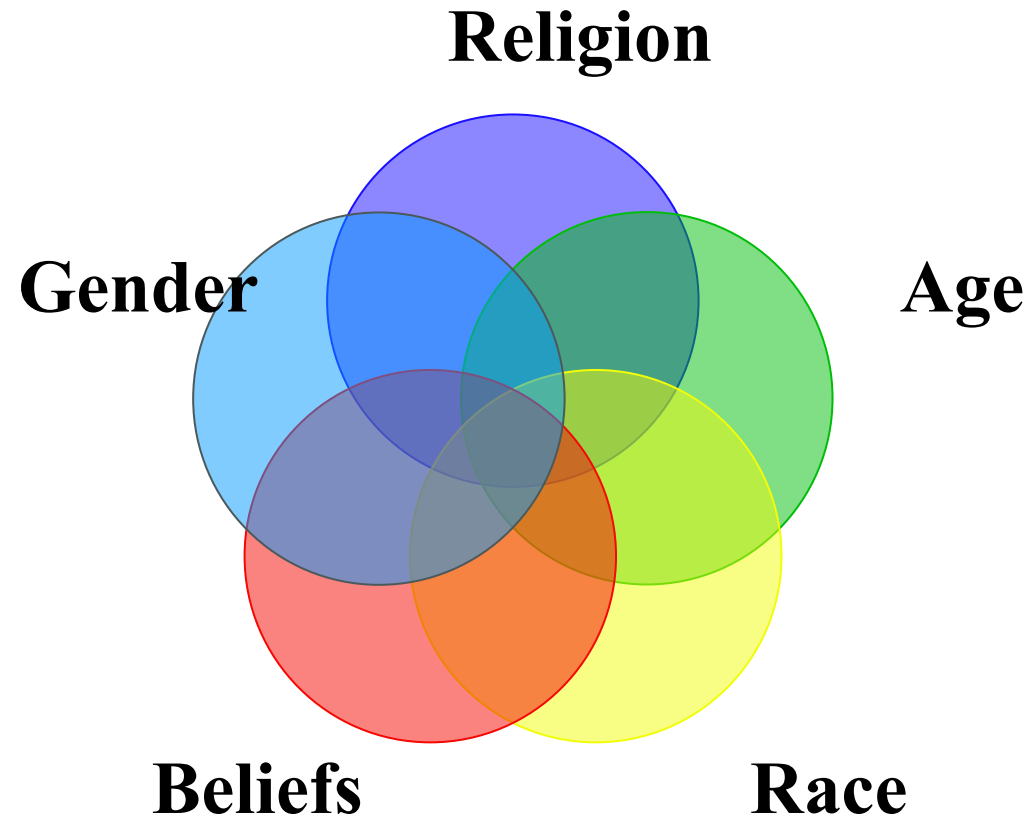
Treatment



**Diversity
Sexual Harassment**

Types of Diversity

Customers
Employees
Stockholders
Creditors
Environment
Communities



Equal Opportunity

Customers

Employees

Stockholders

Creditors

Environment

Communities



**Equal opportunity
for all prospective employees
regardless of their
national origin, race, gender,
or religion.**

**In an effort to increase
opportunities for
minorities and women.**



Ensuring Responsibility

Customers

Employees

Stockholders

Creditors

Environment

Communities

Code of Responsibility

Grievance Policy



Job Satisfaction

Customers

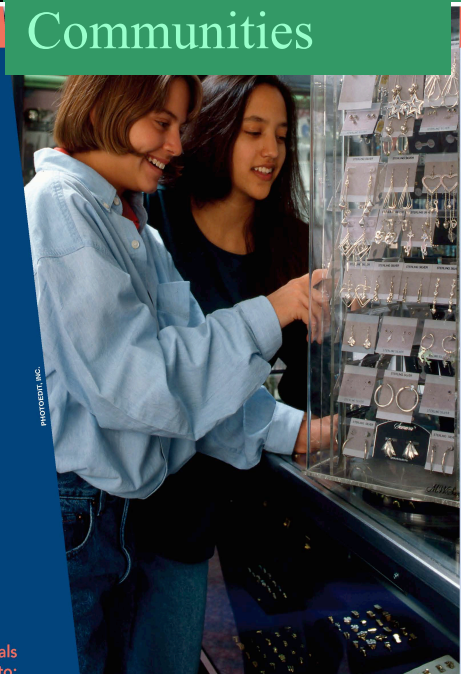
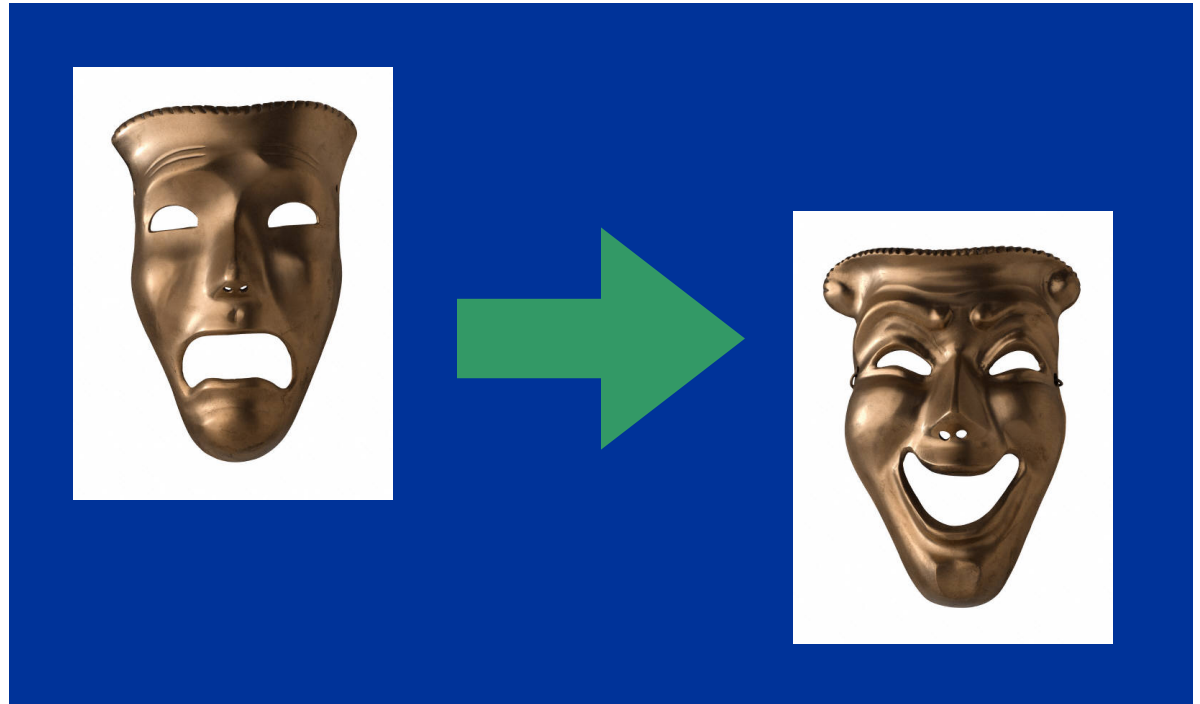
Employees

Stockholders

Creditors

Environment

Communities



Responsibility to Stockholders

Customers

Employees

Stockholders

Creditors

Environment

Communities



Employee Compensation

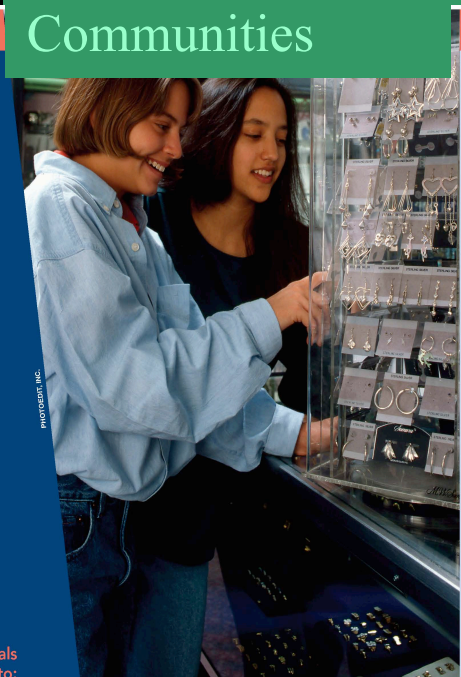
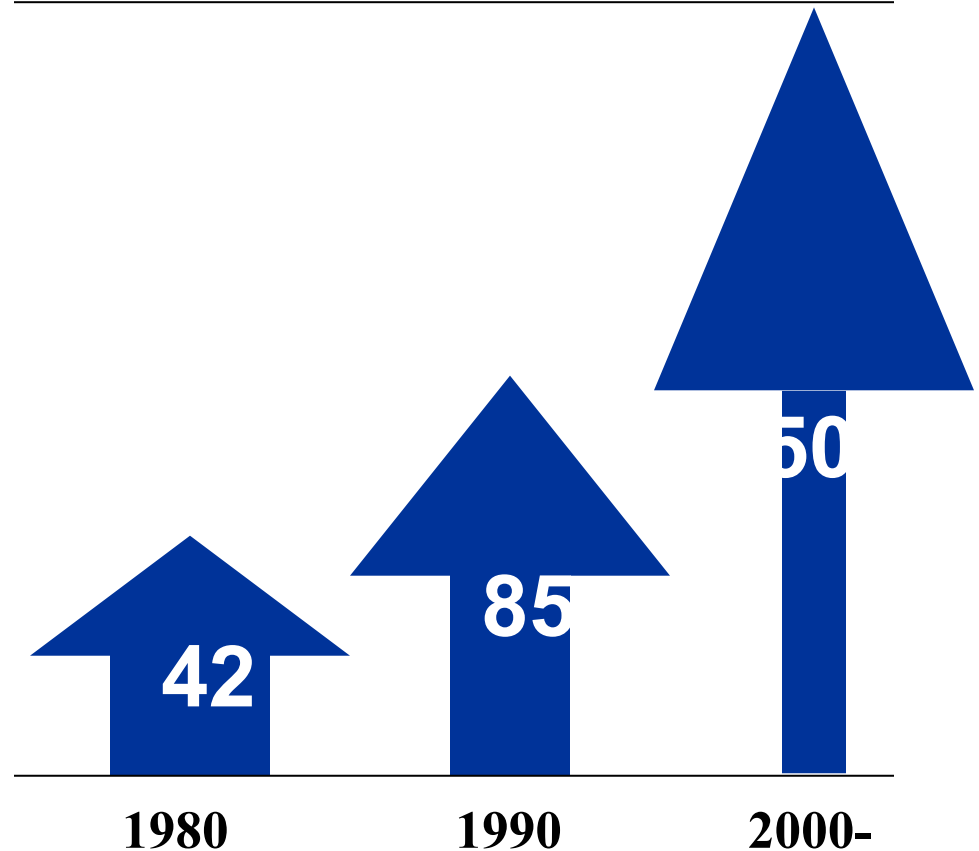
Sarbanes-Oxley Act



Executive Compensation

C.E.O.

Employee



Responsibility to Creditors

Customers

Employees

Stockholders

Creditors

Environment

Communities

Accurate Information

Payment



Pollution

Customers

Employees

Stockholders

Creditors

Environment

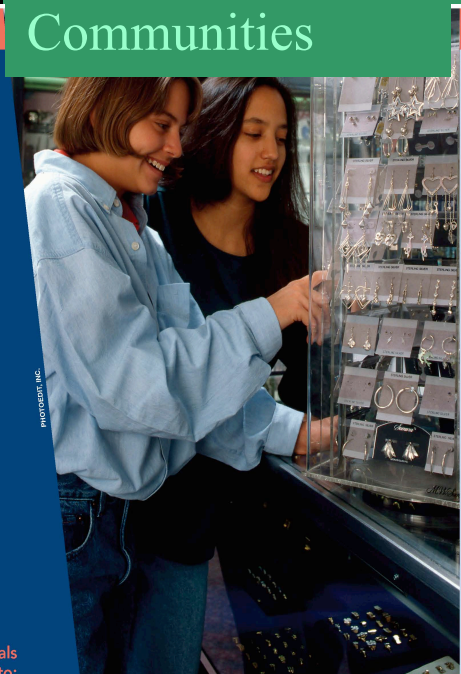
Communities



Air

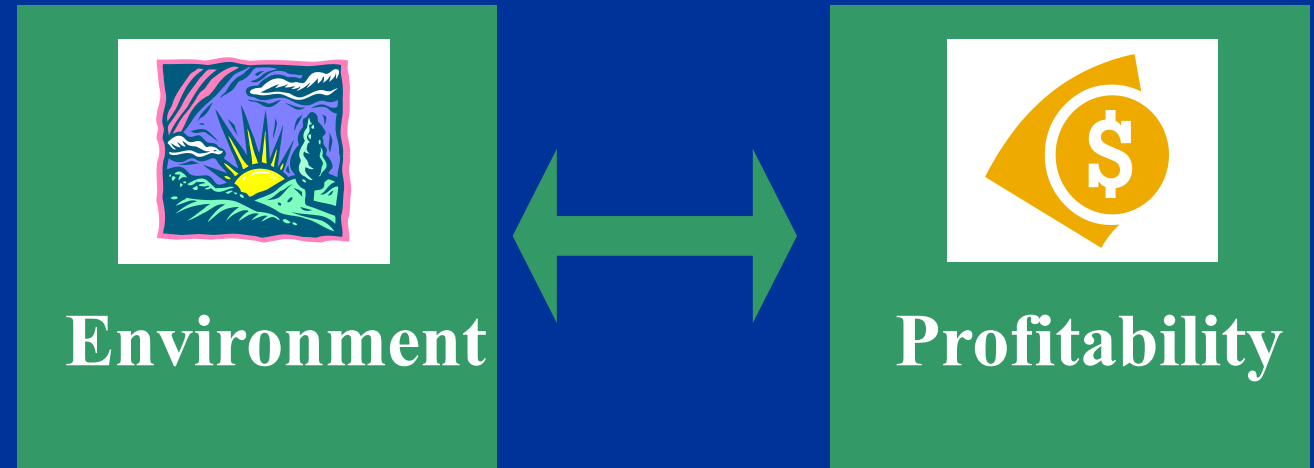


Land

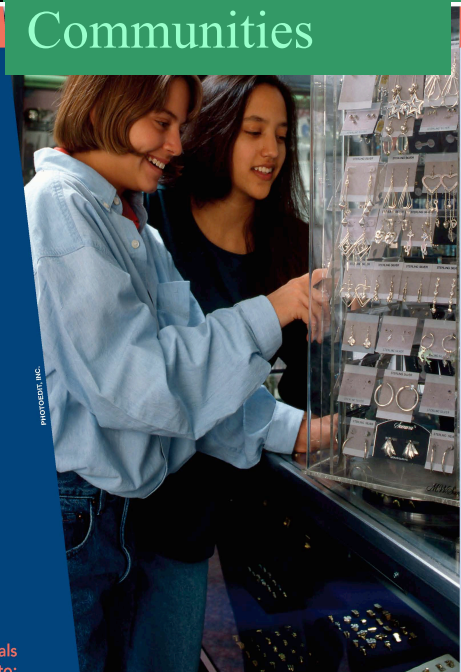


Responsibility Conflicts

Customers
Employees
Stockholders
Creditors
Environment
Communities



**There is an inherent conflict between
the environment and profitability.**



Business Ethics and Social Responsibility

Responsibility to Community

Customers

Employees

Stockholders

Creditors

Environment

Communities



Contributions

Foundations

Charity

Conflict Among Responsibilities

Customers

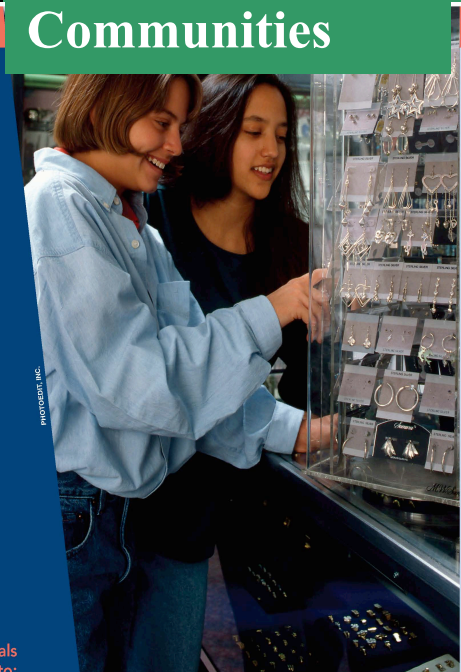
Employees

Stockholders

Creditors

Environment

Communities



Conflict Among Responsibilities

Customers

Employees

Stockholders

Creditors

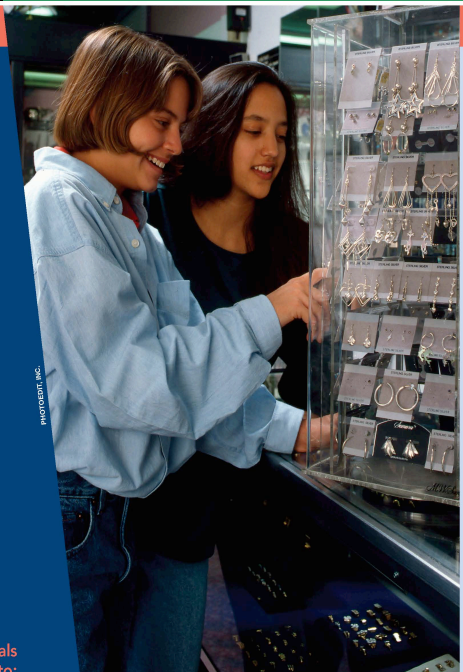
Environment

Communities



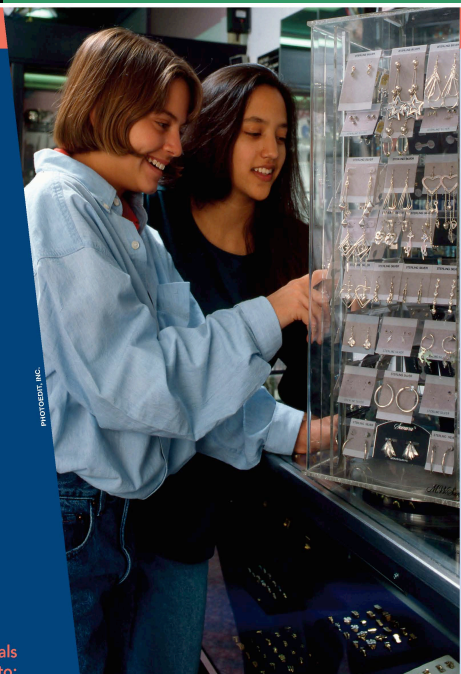
Responsibility to:	Expenses Incurred as a Result:
Customers	Establishing program to receive and resolve complaints Conducting surveys to assess customer satisfaction Lawsuits by customers (product liability)
Employees	Establishing program to receive and resolve complaints Conducting surveys to assess employee satisfaction Lawsuits by employees based on allegations of discrimination
Stockholders	Disclosing financial information periodically Lawsuits by stockholders based on allegations that the firm's managers are not fulfilling their obligations to stockholders
Environment	Complying with governmental regulations on environment Complying with self-imposed environmental guidelines
Community	Sponsoring community activities

- **How can a business fulfill its social responsibility to its customers and still earn a profit?**

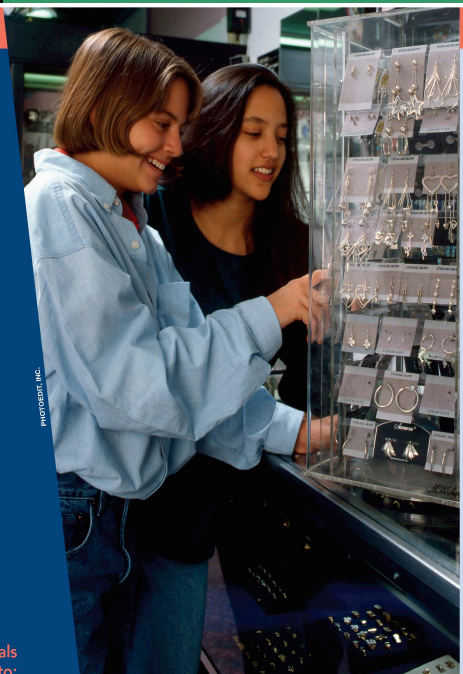


Business Ethics and Social Responsibility

- A business must attempt to satisfy the needs of consumers by providing quality products at a price that will create customer satisfaction. The age of consumerism came about in the 1960s and established the fact that consumers have rights and those rights must be preserved in the marketplace. Businesses, on the other hand, have the right and responsibility to earn a profit for their owners. This profit is achieved only if they can deliver the right bundle of utilities to create customer satisfaction.



- **How does a business's responsibility to its community affect product prices? Are firms that maximize their social responsibility to the community able to maximize shareholder value? Why or why not?**



Business Ethics and Social Responsibility

- Firms will likely raise their prices to cover the expenses associated with following the new government regulations. Consumers indirectly pay the expenses involved in maximizing social responsibility.
- However, even though social support requires a considerable financial commitment, the firm can gain from an enhanced image in the eye of the consumer to whom it sells. Moreover, if a company identifies a charitable cause that is related to its business, it may be able to simultaneously contribute to society and maximize the firm's value.

